# EXECUTIVE SUMMARY

## I. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services, through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor of Peñablanca.

The audit covered the accounts and operations of the Municipality of Peñablanca for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

## II. Operational and Financial Highlights

### Programs, Projects and Activities completed in CY 2022

The following infrastructure projects of the Municipality of Peñablanca were completed in CY 2022:

| Programs/Projects/Activities | | Location | Project Cost |
|---|---|---|---|
| 1 | Repair /Renovation of Rural Health Unit | Camasi | 226,019.13 |
| 2 | Construction of Municipal Public Market (Phase-VI) | Camasi | 19,873,882.64 |
| 3 | Development of Sanitary Landfill Cum Ecological | Bical | 7,928,148.89 |

| Programs/Projects/Activities | | Location | Project Cost |
|---|---|---|---|
| | Park | | |
| 4 | Repair /Renovation of Rural Health Unit | Camasi | 226,019.13 |
| 5 | Proposed Standard PAGCOR Multi-Purpose/Evacuation Center | Minanga | 12,679,549.05 |
| 6 | Construction of Bambang-Bumarrio Road (Road Opening) | Manga | 4,936,109.62 |
| 7 | Construction of Municipal Car Park | Centro | 1,976,232.71 |
| 8 | Concreting of Sisim-Lalongan Main Barangay Road (Remaining Portion) | Manga | 1,989,056.00 |
| 9 | Provision of Water Supply for SLF Site | Bical | 647,549.81 |
| 10 | Repair and Maintenance of Barangay Roads | Buyun, Nabbabalayan, Lapi | 19,903,819.18 |
| 11 | Construction of Caroan Road (Road Opening) | Manga | 2,948,019.26 |
| 12 | Concreting of portion of Manga-Minanga Main Barangay Road | Minanga | 4,925,001.26 |

The financial information of the Municipality for CY 2022, with comparative figures for CY 2021, are presented below:

| Particulars | 2022 | 2021 | Increase/(Decrease) | |
|---|---|---|---|---|
| | | | Amount | Percentage |
| **Financial Condition** | | | | |
| Assets | 738,959,926.77 | 598,191,276.14 | 140,768,650.63 | 23.53% |
| Liabilities | 17,707,717.98 | 14,107,436.68 | 3,600,281.30 | 25.52% |
| Government Equity | 721,252,208.79 | 584,083,839.46 | 137,168,369.33 | 23.48% |
| **Result of Operations** | | | | |
| Income | 522,797,550.13 | 383,829,078.73 | 138,968,471.40 | 36.21% |
| Expenses | 386,268,356.61 | 324,040,558.18 | 62,227,798.43 | 19.20% |
| **Appropriations, Allotments and Obligations** | | | | |
| Appropriations-Current | 515,181,882.00 | 390,601,638.21 | 124,580,243.79 | 31.89% |
| Appropriations-Continuing | 58,465,219.29 | 39,156,928.18 | 19,308,291.11 | 49.31% |
| Allotments – Current | 515,181,882.00 | 390,601,638.21 | 124,580,243.79 | 31.89% |
| Allotments – Continuing | 58,465,219.29 | 39,156,928.18 | 19,308,291.11 | 49.31% |
| Obligations – Current | 408,294,552.65 | 343,163,387.90 | 65,131,164.75 | 18.98% |
| Obligations – Continuing | 35,899,866.07 | 31,369,373.82 | 4,530,492.25 | 14.44% |

The funds received by the LGU and transferred to other agencies for CY 2022, with comparative figures for CY 2021, are as follows:

| Fund Transferred to Other Agencies | 2022 | 2021 | Increase/ (Decrease) |
|---|---|---|---|
| Local Government Units | 230,400.00 | 230,400.00 | - |

| Fund Transferred from Other Agencies | 2022 | 2021 | Increase/ (Decrease) |
|---|---|---|---|
| NGAs | 18,623,700.00 | 21,254,017.15 | (2,630,317.15) |

## III. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Peñablanca for the year-ended December 31, 2022 because these are materially misstated by an aggregate amount of ₱18,880,815.68 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Peñablanca disclosed misstatements totaling ₱18,880,815.68 in absolute value as follows:

| Account | Assets | Liabilities | Revenue/ Expense | Total |
|---|---|---|---|---|
| Cash in Bank – LCCA | 127,168.17 | | | 127,168.17 |
| Accounts Payable | | 127,168.17 | | 127,168.17 |
| Real Property Tax Receivable | 1,458,820.46 | | | 1,458,820.46 |
| Special Education Tax Receivable | 1,458,820.46 | | | 1,458,820.46 |
| Deferred Real Property Tax | | 1,458,820.46 | | 1,458,820.46 |
| Deferred Special Education Tax | | 1,458,820.46 | | 1,458,820.46 |
| Grants and Donations In – Kind | | | 6,395,598.75 | 6,395,598.75 |
| Drugs and Medicines Expenses | | | 6,395,598.75 | 6,395,598.75 |
| **Total** | **3,044,809.09** | **3,044,809.09** | **12,791,197.50** | **18,880,815.68** |

As a result, the following accounts in the financial statements of the Municipality of Peñablanca were **understated** as follows:

| Account | Understatement | Observation No. |
|---|---|---|
| Cash in Bank – LCCA | 127,168.17 | 1 |
| Accounts Payable | 127,168.17 | |
| Real Property Tax Receivable | 1,458,820.46 | 2 |
| Special Education Tax Receivable | 1,458,820.46 | |
| Deferred Real Property Tax | 1,458,820.46 | |

| Account | Understatement | Observation No. |
|---|---|---|
| Deferred Special Education Tax | 1,458,820.46 | |
| Grants and Donations In – Kind | 6,395,598.75 | 3 |
| Drugs and Medicines Expenses | 6,395,598.75 | |
| **Total** | **18,880,815.68** | |

## IV. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Out of the P9,139,300.00 BLGF – approved collection target for the Real Property Tax (RPT) and Special Education Tax (SET) in CY 2022 for the Municipality, only ₱5,544,924.69 or 60.67% was collected leaving an uncollected amount of ₱3,594,375.31 or 39.33%, which is indicative of its inefficient collection effort to fully realize its income potential for the benefits of its constituents.

   We recommended that Management instruct the Municipal Treasurer to improve further its collection efficiency in order to meet or even exceed the BLGF – approved estimates or targets.

2. Out of the 18 projects funded out of the CY 2022 20% Development Fund, seven were not implemented, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.

   We recommended that Management identify and immediately address the causes of delay in the implementation of the seven projects and henceforth ensure that the development projects to be funded out of the 20% DF are carefully planned and procurement and implementation ready, in order to maximize the utilization of the projects and ensure timely delivery of the socio-economic developments and intended benefits to its constituents.

## V. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2022:

| Particulars | Beg. Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | 3,021,482.67 | - | - | 3,021,482.67 | - |
| Current Year | - | - | - | - | - |
| **Total** | **3,021,482.67** | - | - | **3,021,482.67** | - |
| **Disallowances** | | | | | |
| Prior Years | 236,008.00 | - | 20,870.00 | 215,138.00 | 8.84% |
| Current Year | - | - | - | - | - |

| Particulars | Beg. Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Total** | **236,008.00** | **-** | **20,870.00** | **215,138.00** | **8.84%** |
| **Charges** | | | | | |
| Prior Years | - | - | - | - | - |
| Current Year | - | - | - | - | - |
| **Total** | - | - | - | - | - |

## VI. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 5 |
| Not Implemented | 4 | |
| Not Implemented and Reiterated in CY 2022 AAR | 2 | 6 |
| **Total** | | **11** |